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Global EV & Battery Update

May 2026: EV/PHEV penetration solid in EU/China vs US weak; ESS remains the clear bright spot

EV+PHEV penetration trends by region. May EU-5+US+China EV/PHEV momentum remained resilient, with sales at 1.3mn units (-2% y/y, +10% m/m) and penetration at 35% (+3%ppts y/y, +1%ppt m/m). EU-5 continued to drive penetration gains, China's penetration rose despite weak PV sales, while the US remained soft.

- **EU-5.** May EV/PHEV sales volume grew 39% y/y and penetration reached 32% (+8%ppts y/y, +1%ppts m/m) with strength across all regions. EU-5 penetration continues to rise: France (+13%ppts), followed by Italy (+9%ppts), Germany (+8%ppts), UK (+7%ppts), Spain (+4%ppts), supported by country-level subsidy schemes and affordable mass EVs penetrating the market. This week, the EU introduced a €1.5bn Battery Booster Facility to support EV battery production within the European Economic Area, with the first awards expected before the end-2026 ([link](#)).
- **US.** May EV/PHEV sales volume fell 21% y/y with penetration at 7% (-2%ppts y/y, flat m/m), continuing to print y/y declines. By OEM, M/S remained broadly muted m/m: Tesla (#1) followed by GM (#2), HMG (#3), Toyota (#4) and Ford (#5). EV demand stayed weak (-18% y/y, +10% m/m) at ~6% penetration, likely reflecting fewer consumer choices as OEMs cancel new EV launches and pull back marketing.
- **China.** CPCA May NEV retail sales volume came in at 0.95mn units (-7% y/y, +12% m/m), with collective penetration at 63% (+10%ppts y/y, +1%ppts m/m) out of a total of 1.5mn PV sales. While overall PV sales continue to fall, NEV sales held relatively better. Our China auto team is turning more cautious on domestic demand, revising 2026 retail forecasts from -4% to -15% y/y. NEVs are holding up relatively well with penetration exceeding 60%; NEV mix and overseas exposure are becoming more important earnings drivers than headline industry growth ([link](#)).

EV index performance. Over the past month, Asian EV supply chain stocks have traded soft, with Korea (-19%) and China (-13%) underperforming while Japan outperformed (+17%). By subsector, cathodes (-19%) lagged the most, followed by anodes (-17%), separators (-9%), cell makers (-4%) and battery foil (-1%), while electrolytes relatively outperformed (+1%).

AIDC ESS momentum is building, with Siemens partnering with NVIDIA and Fluence Energy to develop a reference power-and-controls architecture for AIDCs, while Fluence has signed Master Supply Agreements with two hyperscalers with first orders expected in 3Q. We believe these developments should alleviate market concerns on whether AIDCs need ESS and drive rising expectations for AIDC ESS demand into 2026-27. Adoption appears slow on the surface, but we believe this is due to construction sequencing rather than a lack of demand, as ESS installation occurs in the later stages of AIDC builds and most large-scale projects are still in early construction phases. AIDC ESS battery is a distinct product category from utility-scale ESS, requiring rapid response, high power density and frequent micro-cycling, which favours leading players with strong product quality ([link](#)).

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Chinese OEMs' overseas expansion appears structural. Our China auto team raised 2026 overseas sales forecasts for BYD/Geely by ~15%/~30%, while trimming domestic estimates after visiting Europe. The key takeaway from our European Auto Conference last week is that Chinese OEMs' overseas strategy has evolved beyond a single-powertrain, cheap EV narrative into balanced powertrain portfolios, brand ladders and tech stories. Chinese OEMs' M/S in Europe NEV reached 18%, tripling y/y, driven by retail execution moats and strong feature content bundled as standard, with localization accelerating to mitigate tariff and regulatory risks ([link](#)).

Downgrade SQM (SQM US, N, covered by Lucas Ferreira) to Neutral as upside to lithium prices from current spot levels appears limited. The global lithium S/D balance still points to a deficit over the next couple of years, but several near-term headwinds are emerging, including a rebound in Chinese lithium inventories, pushback from battery players on elevated price levels, and a more cautious stance on Chinese EV sales with Chinese NEV sales falling y/y entering 2026. Offsetting this, ESS demand remains strong and some lithium project delays in China are keeping the market tight, but not enough to drive meaningful upside ([link](#)).

Stock recommendations and potential future catalysts. Europe continues to print strong EV growth, China's penetration is rising despite soft PV sales, while the US remains soft. ESS remains a clear bright spot with global shipments more than doubling y/y in 4M26, driven by China domestic demand and robust exports to ex-US regions. US-bound shipments are shifting from China to Korean/Japanese battery makers, underscoring the ongoing sourcing shift as OBBBA regulations remain in effect ([link](#)). Among ESS players, we favor CATL as the largest global ESS battery maker, and LGES/SDI as key beneficiaries of growing US ESS opportunities.

Stock positioning. In Korea, we like auto OEMs (Hyundai Motor, Kia) on resilient auto earnings driven by increasing HEV mix. Within the Korea battery supply chain, we prefer battery makers (LGES/SDI OW) over materials (LG Chem/L&F OW; EBM N; PFM UW) and lithium producers (POSCO, N), reflecting relative bargaining power and execution capability (LGES, LG Chem covered by Parsley Ong). In China, we like BYD-A/H (covered by Nick Lai) for its strong execution on global expansion along with overseas production ramp-up; and CATL-A/H (covered by Rebecca Wen) given its technology and leadership position in the global EV and ESS battery market.

Table 1: May 2026 PV+EV+PHEV monthly and YTD sales and penetration trends (by region)

Units in 000s, %, %p

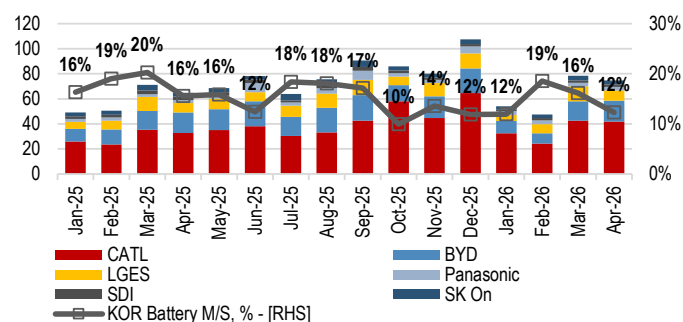
Global PV Sales ('000s)	May-26	May-25	y/y%	5M26	5M25	y/y%
Passenger Vehicles (PV)						
Europe (EU5)	791	765	3.3%	4,092	3,883	5.4%
Germany	239	239	0.1%	1,188	1,147	3.6%
France	128	124	3.7%	668	673	-0.6%
Italy	150	139	7.7%	792	722	9.6%
Spain	112	113	-0.8%	519	491	5.8%
United Kingdom	161	150	7.1%	925	851	8.7%
China	1,510	1,938	-22.1%	7,119	8,810	-19.2%
US	1,480	1,475	0.3%	6,575	6,901	-4.7%
Total	3,780	4,179	-9.5%	17,786	19,595	-9.2%
Battery Electric Vehicles (EV)						
Europe (EU5)	167	111	49.7%	804	570	40.9%
Germany	60	43	39.3%	284	202	40.9%
France	37	19	92.7%	186	119	55.4%
Italy	13	7	85.8%	65	37	75.5%
Spain	12	9	34.4%	49	35	39.9%
United Kingdom	44	33	34.2%	221	177	24.3%
China	637	607	4.9%	2,421	2,675	-9.5%
US	86	106	-18.3%	385	515	-25.3%
Total	890	824	8.0%	3,610	3,761	-4.0%
Plug-in Hybrid Vehicles (PHEV)						
Europe (EU5)	87	71	22.0%	414	312	32.6%
Germany	28	25	10.9%	132	113	16.0%
France	8	8	-6.5%	29	37	-21.7%
Italy	15	7	122.0%	69	33	108.4%
Spain	14	13	6.6%	62	43	46.9%
United Kingdom	22	18	23.9%	121	86	41.8%
China	313	414	-24.4%	1,291	1,678	-23.1%
US	19	28	-32.5%	68	154	-55.9%
Total	418	513	-18.4%	1,773	2,145	-17.3%

Global EV/PHEV Penetration (%)	May-26	May-25	y/y%	5M26	5M25	y/y%
EV/PHEV Penetration (%)						
Europe (EU5)	32.0%	23.8%	8.2%p	29.8%	22.7%	7.0%p
Germany	36.7%	28.5%	8.2%p	35.0%	27.5%	7.5%p
France	35.1%	22.3%	12.8%p	32.2%	23.3%	8.8%p
Italy	18.9%	10.0%	8.9%p	16.9%	9.7%	7.2%p
Spain	23.0%	19.4%	3.7%p	21.5%	15.8%	5.7%p
United Kingdom	41.1%	33.7%	7.4%p	37.0%	30.9%	6.1%p
China	62.9%	52.7%	10.2%p	52.1%	49.4%	2.7%p
US	7.1%	9.1%	-1.9%p	6.9%	9.7%	-2.8%p
Total	34.6%	32.0%	2.6%p	30.3%	30.1%	0.1%p
EV Penetration (%)						
Europe (EU5)	21.1%	14.5%	6.5%p	19.6%	14.7%	5.0%p
Germany	25.0%	18.0%	7.1%p	23.9%	17.6%	6.3%p
France	29.1%	15.7%	13.5%p	27.8%	17.8%	10.0%p
Italy	8.8%	5.1%	3.7%p	8.2%	5.1%	3.1%p
Spain	10.8%	7.9%	2.8%p	9.4%	7.1%	2.3%p
United Kingdom	27.3%	21.8%	5.5%p	23.9%	20.9%	3.0%p
China	42.2%	31.3%	10.9%p	34.0%	30.4%	3.6%p
US	5.8%	7.2%	-1.3%p	5.9%	7.5%	-1.6%p
Total	23.5%	19.7%	3.8%p	20.3%	19.2%	1.1%p
PHEV Penetration (%)						
Europe (EU5)	11.0%	9.3%	1.7%p	10.1%	8.0%	2.1%p
Germany	11.7%	10.5%	1.1%p	11.1%	9.9%	1.2%p
France	6.0%	6.6%	-0.6%p	4.4%	5.6%	-1.2%p
Italy	10.1%	4.9%	5.2%p	8.7%	4.6%	4.1%p
Spain	12.3%	11.4%	0.8%p	12.0%	8.7%	3.4%p
United Kingdom	13.8%	11.9%	1.9%p	13.1%	10.1%	3.1%p
China	20.7%	21.4%	-0.6%p	18.1%	19.0%	-0.9%p
US	1.3%	1.9%	-0.6%p	1.0%	2.2%	-1.2%p
Total	11.1%	12.3%	-1.2%p	10.0%	10.9%	-1.0%p

Source: CNEV Post, Motor Intelligence, European Union
Note: China data are based on preliminary CPCA retail sales data.

Figure 1: Global EV battery installations by company vs KOR battery cell market share

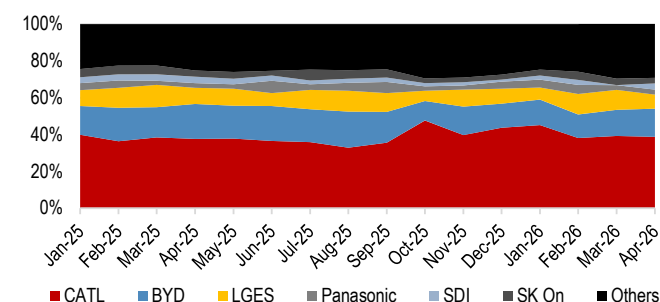
GWh, %



Source: SNE Research.

Figure 2: Global EV battery installation market share trend by company

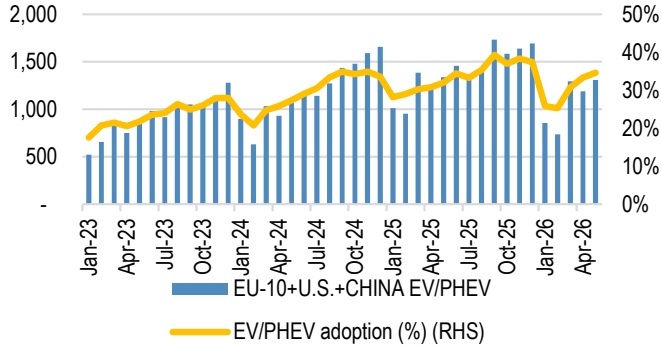
%



Source: SNE Research.

Figure 3: EU10 + US + China EV/PHEV sales and penetration trend

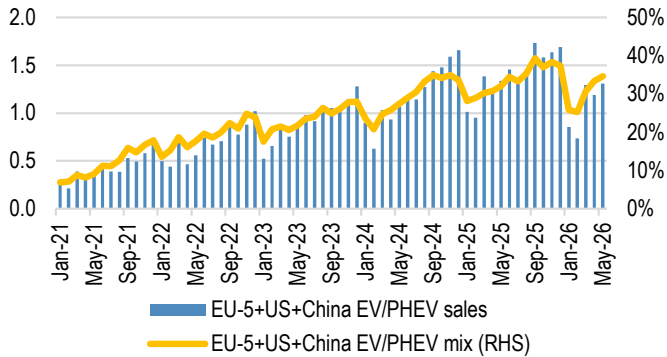
Units in 000s, %



Source: CNEV Post, Motor Intelligence, European Union

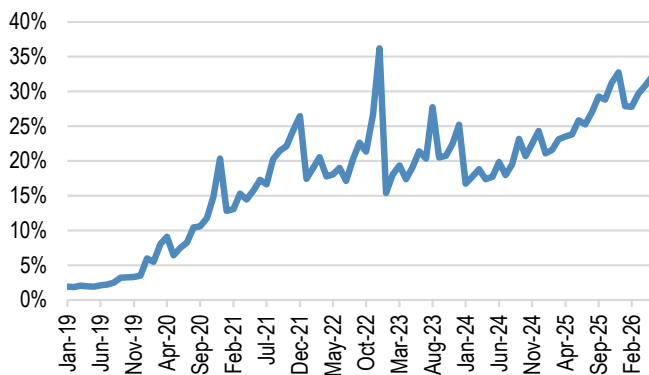
Figure 5: EU-5+US+China EV/PHEV sales mix trend

Units mn, %



Source: CNEV Post, Motor Intelligence, European Union

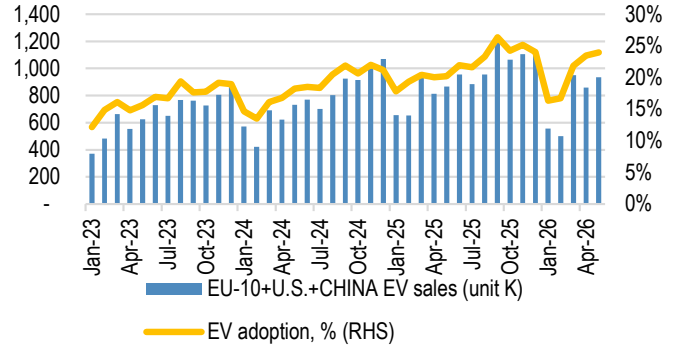
Figure 7: EU-5 EV/PHEV penetration trend



Source: European Union

Figure 4: EU10 + US + China EV sales and penetration trend

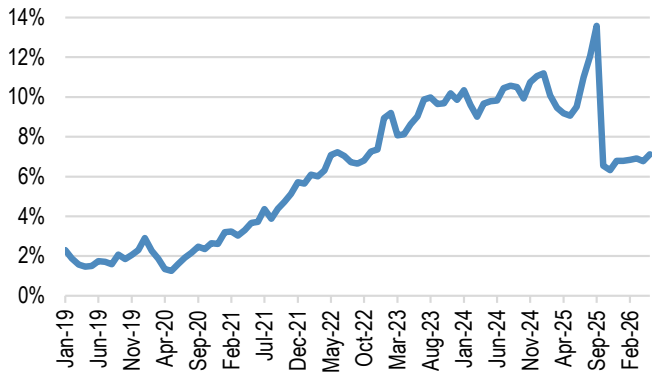
Units in 000s, %



Source: CNEV Post, Motor Intelligence, European Union

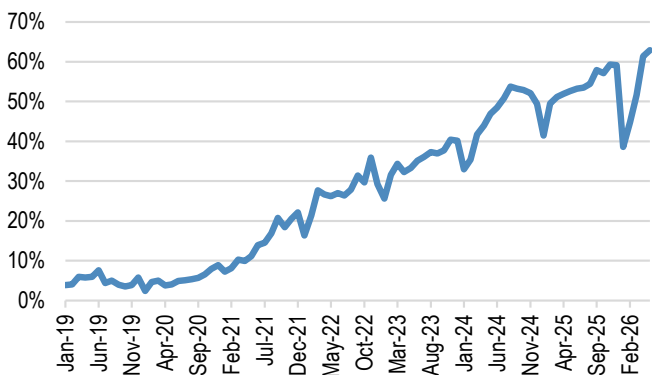
Figure 6: US EV/PHEV penetration trend

%



Source: Motor Intelligence

Figure 8: China EV/PHEV penetration trend



Source: CNEV Post

Table 2: US/Germany: May 2026 EV monthly and YTD sales and market share trends (by OEM)

Units, %, %p

Global EV Sales by OEM (units)	May-26	May-25	y/y%	5M26	5M25	y/y%
US						
Tesla	40,578	46,150	-12%	198,028	229,010	-14%
GM	10,951	15,562	-30%	47,602	62,858	-24%
HMC	6,483	6,108	6%	24,072	25,742	-6%
Toyota	5,479	2,263	142%	24,811	11,042	125%
Ford	3,769	6,723	-44%	14,284	34,132	-58%
Subaru	3,094	1,246	148%	8,188	5,326	54%
Kia	2,822	1,489	90%	10,505	11,600	-9%
Rivian	2,821	2,887	-2%	11,511	11,828	-3%
BMW	2,459	3,984	-38%	9,389	22,936	-59%
Honda	1,899	3,983	-52%	6,809	22,535	-70%
VW	1,470	805	83%	3,997	11,212	-64%
Volvo	1,311	1,417	-7%	6,322	7,412	-15%
Others	1,019	3,009	-66%	7,104	14,378	-51%
Lucid	905	975	-7%	6,730	4,207	60%
Audi	409	1,791	-77%	1,354	9,634	-86%
Nissan	394	3,407	-88%	1,448	13,192	-89%
Mercedes	363	1,634	-78%	1,807	7,611	-76%
Stellantis	259	2,368	-89%	996	9,784	-90%
Jaguar Land Rover (JLR)	10	35	-71%	33	955	-97%
Total	86,495	105,836	-18%	384,990	515,394	-25%
Global EV M/S by OEM (%)	May-26	May-25	y/y%	5M26	5M25	y/y%
US						
Tesla	46.9%	43.6%	3.3%p	51.4%	44.4%	7.0%p
GM	12.7%	14.7%	-2.0%p	12.4%	12.2%	0.2%p
HMC	7.5%	5.8%	1.7%p	6.3%	5.0%	1.3%p
Toyota	6.3%	2.1%	4.2%p	6.4%	2.1%	4.3%p
Ford	4.4%	6.4%	-2.0%p	3.7%	6.6%	-2.9%p
Subaru	3.6%	1.2%	2.4%p	2.1%	1.0%	1.1%p
Kia	3.3%	1.4%	1.9%p	2.7%	2.3%	0.5%p
Rivian	3.3%	2.7%	0.5%p	3.0%	2.3%	0.7%p
BMW	2.8%	3.8%	-0.9%p	2.4%	4.5%	-2.0%p
Honda	2.2%	3.8%	-1.6%p	1.8%	4.4%	-2.6%p
VW	1.7%	0.8%	0.9%p	1.0%	2.2%	-1.1%p
Volvo	1.5%	1.3%	0.2%p	1.6%	1.4%	0.2%p
Others	1.2%	2.8%	-1.7%p	1.8%	2.8%	-0.9%p
Lucid	1.0%	0.9%	0.1%p	1.7%	0.8%	0.9%p
Audi	0.5%	1.7%	-1.2%p	0.4%	1.9%	-1.5%p
Nissan	0.5%	3.2%	-2.8%p	0.4%	2.6%	-2.2%p
Mercedes	0.4%	1.5%	-1.1%p	0.5%	1.5%	-1.0%p
Stellantis	0.3%	2.2%	-1.9%p	0.3%	1.9%	-1.6%p
Jaguar Land Rover (JLR)	0.0%	0.0%	0.0%p	0.0%	0.2%	-0.2%p
Total	100%	100%		100%	100%	
Germany	May-26	May-25	y/y%	5M26	5M25	y/y%
Germany						
VW	7,683	9,281	-17%	40,784	44,399	-8%
SKODA	5,856	4,536	29%	29,945	18,010	66%
BMW	5,229	3,638	44%	23,238	18,104	28%
TESLA	5,111	1,210	322%	21,089	7,030	200%
Mercedes	4,559	2,122	115%	20,203	11,838	71%
Audi	3,196	4,226	-24%	20,002	16,250	23%
SEAT	2,861	2,537	13%	12,861	13,796	-7%
Others	2,708	516	425%	11,506	4,655	147%
Hyundai	2,576	2,444	5%	11,935	10,231	17%
Renault	2,300	611	276%	7,743	4,168	86%
KIA	2,280	1,308	74%	9,771	5,879	66%
OPEL	1,929	1,579	22%	11,104	6,739	65%
BYD	1,877	1,223	53%	8,052	3,251	148%
Fiat	1,565	1,092	43%	5,827	3,023	93%
MINI	1,403	878	60%	6,423	4,308	49%
Ford	1,267	1,448	-13%	7,804	5,364	45%
Others	7,569	4,411	72%	35,662	24,534	45%
Total	59,969	43,060	39%	283,949	201,579	41%
Germany	May-26	May-25	y/y%	5M26	5M25	y/y%
Germany						
VW	12.8%	21.6%	-8.7%p	14.4%	22.0%	-7.7%p
SKODA	9.8%	10.5%	-0.8%p	10.5%	8.9%	1.6%p
BMW	8.7%	8.4%	0.3%p	8.2%	9.0%	-0.8%p
TESLA	8.5%	2.8%	5.7%p	7.4%	3.5%	3.9%p
Mercedes	7.6%	4.9%	2.7%p	7.1%	5.9%	1.2%p
Audi	5.3%	9.8%	-4.5%p	7.0%	8.1%	-1.0%p
SEAT	4.8%	5.9%	-1.1%p	4.5%	6.8%	-2.3%p
Others	4.5%	1.2%	3.3%p	4.1%	2.3%	1.7%p
Hyundai	4.3%	5.7%	-1.4%p	4.2%	5.1%	-0.9%p
Renault	3.8%	1.4%	2.4%p	2.7%	2.1%	0.7%p
KIA	3.8%	3.0%	0.8%p	3.4%	2.9%	0.5%p
OPEL	3.2%	3.7%	-0.5%p	3.9%	3.3%	0.6%p
BYD	3.1%	2.8%	0.3%p	2.8%	1.6%	1.2%p
Fiat	2.6%	2.5%	0.1%p	2.1%	1.5%	0.6%p
MINI	2.3%	2.0%	0.3%p	2.3%	2.1%	0.1%p
Ford	2.1%	3.4%	-1.2%p	2.7%	2.7%	0.1%p
Others	12.6%	10.2%	2.4%p	12.6%	12.2%	0.4%p
Total	100%	100%		100%	100%	

Source: Motor Intelligence, KBA (Germany Auto Association)

Table 3: Chinese OEM NEV sales trends

Units, %

China OEM NEV sales	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
BYD	300,538	322,846	377,420	380,089	382,476	382,585	344,296	373,626	396,270	441,706	480,186	420,398	205,518	187,782	295,693	321,123	383,453
Geely	117,576	98,433	86,329	125,563	138,021	122,367	130,124	147,347	165,201	307,133	310,428	236,817	124,252	117,488	127,319	135,591	133,355
Tesla China	33,703	26,777	74,127	28,731	38,588	61,484	40,617	57,152	71,525	26,006	73,145	93,843	18,485	38,206	56,107	25,956	47,281
Li Auto	29,927	26,263	36,674	33,939	40,856	36,279	30,731	28,529	33,951	31,767	33,181	44,246	27,668	26,421	41,053	34,085	33,350
Xpeng	30,350	30,453	33,205	35,045	33,525	34,611	36,717	37,709	41,581	42,013	36,728	37,508	20,011	15,256	27,415	31,011	32,158
NIO	13,863	13,192	15,039	23,900	23,231	24,925	21,017	31,305	34,749	40,397	36,275	48,135	27,182	20,797	35,486	29,356	37,705
Leap Motor	25,170	25,287	37,095	41,039	45,067	48,006	50,129	57,066	66,657	70,289	70,327	60,423	32,059	28,067	50,029	71,387	81,569
Zeekr	11,942	14,039	15,422	13,727	18,908	16,702	16,977	17,626	18,257	21,423	28,843	30,267	23,852	23,867	23,867	31,787	34,377

Source: CNEV Post

Table 4: US – BEV market share trend by OEM

US EV share, %	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Tesla	49.4%	44.9%	40.1%	44.8%	43.6%	45.3%	41.3%	37.4%	39.9%	56.1%	57.6%	55.7%	61.0%	54.6%	49.2%	47.9%	46.9%
GM	8.4%	9.6%	12.9%	14.9%	14.7%	15.2%	14.8%	14.6%	17.0%	14.8%	8.3%	10.2%	8.3%	12.5%	13.9%	13.8%	12.7%
Ford	5.8%	7.5%	8.6%	4.7%	6.4%	4.8%	6.3%	7.2%	7.9%	6.5%	6.5%	6.4%	2.7%	3.0%	3.6%	4.7%	4.4%
VW	5.5%	2.6%	1.5%	0.8%	0.8%	0.9%	3.9%	3.7%	3.0%	0.3%	0.6%	0.8%	0.7%	0.7%	0.7%	1.2%	1.7%
Rivian	2.2%	2.4%	2.4%	1.7%	2.7%	3.3%	2.5%	2.4%	2.5%	2.9%	3.1%	2.9%	2.3%	2.3%	3.0%	3.8%	3.3%
Kia	3.1%	3.1%	2.4%	1.4%	1.4%	2.1%	2.8%	3.7%	4.2%	1.8%	2.5%	2.9%	2.1%	2.2%	2.8%	3.1%	3.3%
HMC	3.8%	4.3%	5.8%	5.1%	5.8%	5.1%	6.5%	7.1%	7.5%	3.5%	4.3%	3.7%	4.7%	5.7%	6.8%	6.1%	7.5%
BMW	3.4%	4.1%	5.7%	5.1%	3.8%	4.8%	2.5%	2.1%	2.9%	3.2%	3.7%	3.2%	1.7%	1.9%	2.5%	3.0%	2.8%
Nissan	2.1%	2.1%	2.2%	3.2%	3.2%	2.3%	1.1%	0.8%	0.9%	0.2%	0.0%	0.4%	0.4%	0.3%	0.3%	0.4%	0.5%
Mercedes	1.2%	1.3%	1.7%	1.6%	1.5%	1.6%	1.5%	1.4%	1.2%	1.2%	1.2%	1.1%	0.6%	0.5%	0.5%	0.4%	0.4%
Audi	1.5%	1.9%	2.3%	1.9%	1.7%	1.7%	3.1%	4.1%	4.2%	0.3%	0.3%	1.3%	0.3%	0.3%	0.3%	0.4%	0.5%
Volvo	1.0%	1.9%	1.4%	1.6%	1.3%	1.3%	1.0%	1.1%	0.7%	1.7%	1.1%	1.8%	2.0%	1.7%	1.5%	1.7%	1.5%
Toyota	2.5%	2.2%	2.1%	1.7%	2.1%	2.0%	2.1%	1.1%	0.1%	0.1%	2.1%	3.4%	5.7%	6.9%	7.0%	6.2%	6.3%
Others	3.3%	4.3%	2.9%	3.8%	3.8%	2.9%	2.8%	3.4%	2.1%	5.9%	6.7%	4.7%	5.2%	4.7%	3.7%	2.6%	2.2%

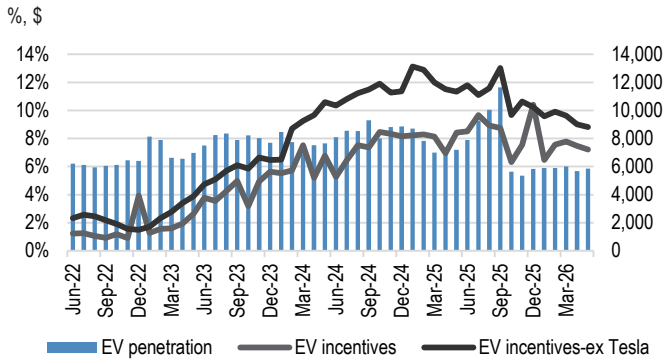
Source: U.S. Motor Intelligence

Table 5: Germany – EV market share trend by OEM

Germany EV share, %	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
Audi	5.6%	9.2%	8.0%	7.4%	9.8%	7.2%	6.4%	7.8%	5.0%	6.3%	7.9%	8.6%	8.6%	7.7%	7.4%	6.8%	5.3%
BMW	8.1%	9.9%	9.3%	9.1%	8.4%	9.5%	11.2%	9.1%	6.2%	9.5%	10.4%	12.2%	7.6%	6.1%	8.2%	9.5%	8.7%
BYD	0.6%	0.4%	1.4%	2.3%	2.8%	2.7%	1.2%	1.7%	2.9%	1.2%	2.1%	4.0%	3.7%	3.5%	1.6%	2.9%	3.1%
Citroen (under STLA group)	0.5%	0.7%	1.1%	1.0%	0.8%	0.8%	1.2%	1.5%	1.0%	1.8%	1.6%	1.3%	2.0%	2.1%	1.7%	1.6%	1.9%
Dacia	2.5%	0.9%	1.0%	0.7%	0.5%	1.3%	1.1%	0.8%	0.8%	0.5%	0.9%	1.1%	0.3%	0.2%	0.6%	1.2%	0.5%
Fiat (under STLA group)	0.7%	0.4%	1.8%	1.7%	2.5%	2.1%	2.4%	2.8%	2.9%	2.1%	3.1%	3.4%	2.5%	2.0%	1.5%	1.9%	2.6%
Ford	1.2%	2.3%	2.5%	3.5%	3.4%	3.3%	4.1%	5.2%	5.1%	4.0%	5.1%	4.7%	2.1%	3.1%	2.9%	3.4%	2.1%
Great Wall Motors (GWM)	0.2%	0.2%	0.2%	0.2%	0.3%	1.7%	0.3%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Hyundai	4.2%	4.4%	5.4%	5.4%	5.7%	5.8%	5.6%	5.5%	4.7%	4.4%	2.9%	2.5%	4.2%	4.4%	3.7%	4.6%	4.3%
KIA	2.8%	2.9%	2.8%	3.0%	3.0%	2.2%	2.9%	3.6%	3.3%	2.9%	2.7%	2.2%	3.1%	3.2%	3.0%	3.9%	3.8%
Maxus	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Mazda	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.1%	0.4%	0.5%	0.7%	0.7%	0.7%	0.6%	0.5%	0.7%	0.7%	0.7%
Mercedes	6.4%	6.4%	6.0%	5.8%	4.9%	5.5%	6.2%	7.1%	6.3%	7.4%	7.7%	6.3%	6.6%	6.5%	6.4%	8.2%	7.6%
MG Roewe	3.5%	1.9%	1.0%	2.0%	1.4%	1.5%	1.2%	1.6%	1.5%	2.1%	2.3%	0.3%	0.4%	1.3%	0.6%	1.1%	1.1%
MINI	2.4%	2.0%	2.0%	2.2%	2.0%	2.7%	3.9%	3.5%	3.8%	2.9%	3.0%	3.1%	2.9%	2.7%	1.8%	2.1%	2.3%
NIO	0.1%	0.1%	0.0%	0.0%	0.1%	0.0%	0.1%	0.1%	0.0%	0.0%	0.0%	0.2%	0.0%	0.0%	0.0%	0.0%	0.0%
OPEL	2.2%	4.0%	2.4%	4.2%	3.7%	4.2%	2.7%	3.2%	2.9%	3.6%	3.2%	3.9%	4.5%	4.9%	3.9%	3.5%	3.2%
Peugeot	0.8%	0.6%	0.6%	0.6%	0.7%	0.9%	0.9%	1.2%	1.2%	1.8%	2.1%	1.6%	2.1%	2.2%	1.7%	2.0%	1.7%
Polestar	0.7%	0.7%	0.8%	0.7%	0.6%	1.1%	1.4%	0.9%	0.8%	1.1%	0.7%	1.4%	1.2%	0.6%	0.6%	0.4%	0.5%
Porsche	2.3%	2.1%	2.3%	1.7%	1.8%	1.4%	1.8%	1.4%	2.0%	1.8%	1.3%	1.2%	2.3%	2.5%	1.1%	0.8%	1.1%
Renault	1.6%	2.4%	3.1%	1.9%	1.4%	3.0%	2.7%	2.2%	1.8%	2.7%	2.3%	1.9%	2.0%	2.2%	2.1%	3.3%	3.8%
SEAT	7.9%	6.9%	6.7%	7.0%	5.9%	5.3%	5.1%	5.2%	6.4%	6.0%	5.4%	5.6%	4.4%	3.3%	5.3%	4.5%	4.8%
SKODA	9.7%	6.7%	8.3%	9.3%	10.5%	9.2%	9.7%	8.1%	9.5%	11.3%	9.8%	8.9%	11.6%	12.4%	10.3%	9.5%	9.8%
SMART	1.4%	0.8%	0.6%	0.6%	0.8%	0.7%	0.8%	1.0%	1.0%	0.9%	0.7%	1.2%	1.1%	0.8%	1.0%	1.5%	1.3%
TESLA	3.7%	4.0%	5.2%	1.9%	2.8%	3.9%	2.3%	3.7%	7.5%	1.4%	3.2%	3.7%	3.0%	4.9%	13.1%	4.9%	8.5%
Toyota	1.8%	1.8%	1.4%	0.9%	0.9%	1.7%	1.6%	1.0%	0.6%	0.3%	0.3%	0.5%	1.0%	0.9%	1.0%	1.0%	1.2%
Volvo	2.6%	2.1%	2.1%	2.0%	2.0%	2.0%	1.6%	1.1%	1.3%	1.4%	1.3%	1.6%	1.7%	1.6%	1.4%	1.5%	1.5%
VW	23.9%	23.0%	20.9%	21.4%	21.6%	17.1%	18.8%	16.3%	17.6%	18.5%	15.9%	14.1%	15.8%	15.3%	14.2%	14.3%	12.8%
Others	2.5%	2.7%	2.4%	2.8%	1.2%	2.5%	2.5%	3.4%	3.0%	2.6%	2.9%	2.9%	3.9%	4.4%	3.4%	4.2%	4.5%

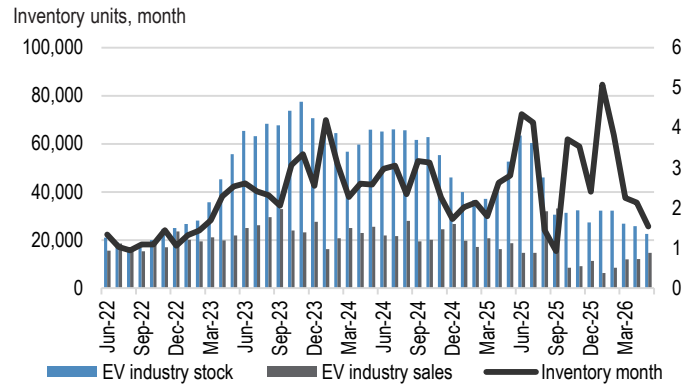
Source: KBA (Germany Auto Association)

Figure 9: US: EV penetration and incentive trends



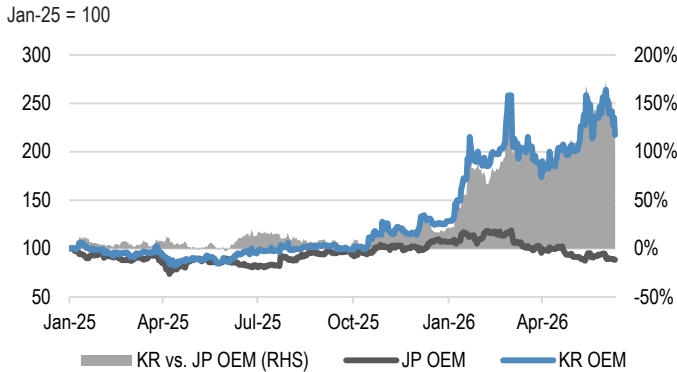
Source: Company data

Figure 10: US: EV inventory trends



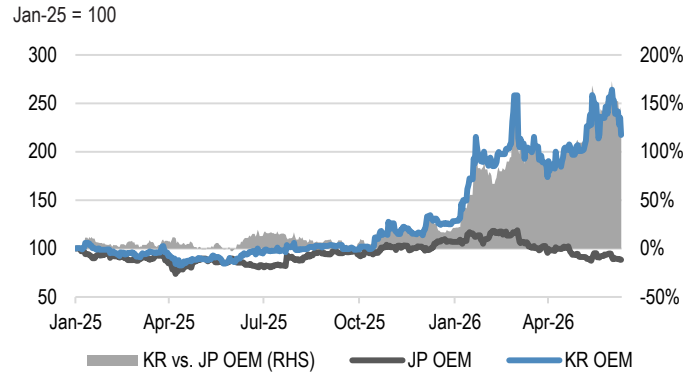
Source: Company data.

Figure 11: HMC/Kia vs global OEM share performance



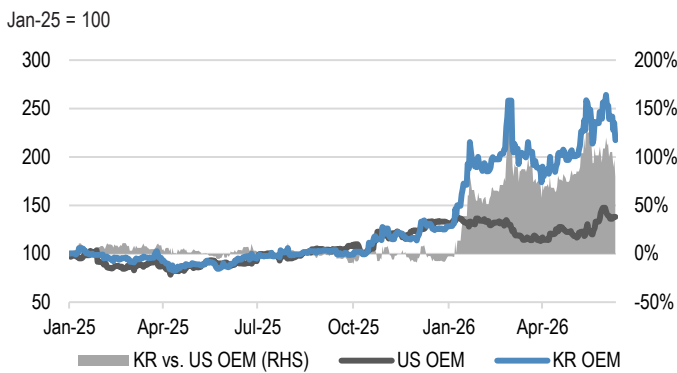
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results

Figure 12: HMC/Kia vs JP OEM share performance



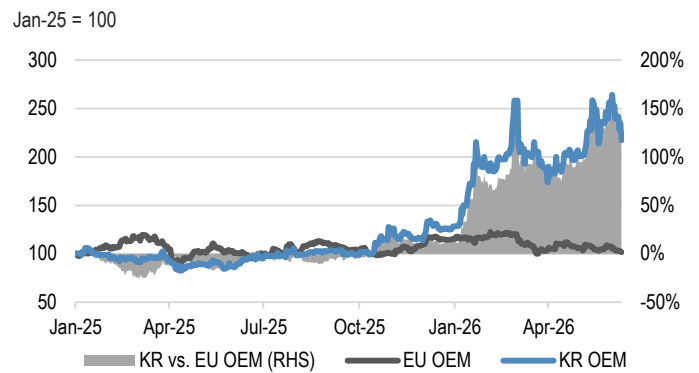
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results

Figure 13: HMC/Kia vs US OEM share performance



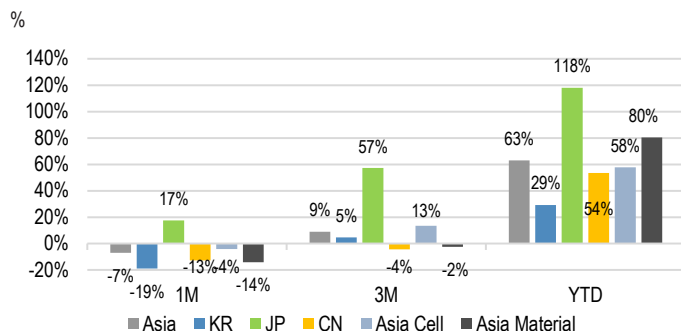
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results

Figure 14: HMC/Kia vs EU OEM share performance



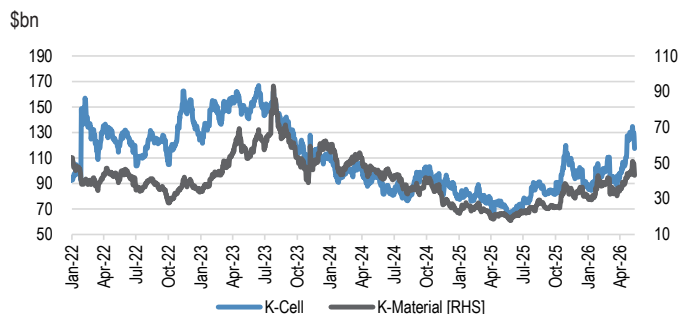
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results

Figure 15: Share price performance – regional comparison



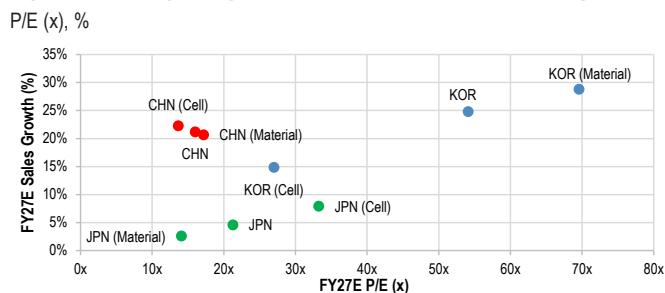
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results, Priced as of 11 June, 2026

Figure 16: Korean EV battery and material market capitalization



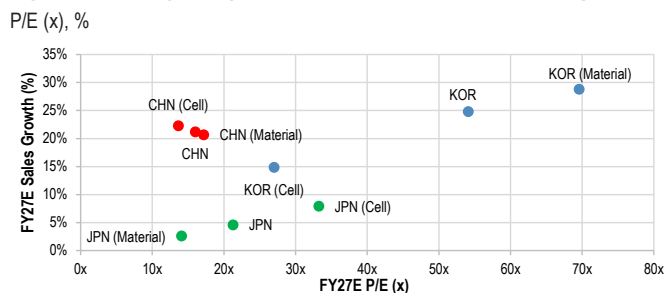
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results

Figure 17: Battery ecosystem – FY26E P/E multiple vs sales growth



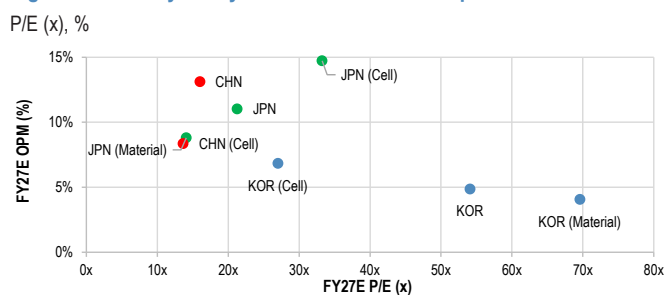
Source: Bloomberg Finance L.P.

Figure 18: Battery ecosystem – FY27E P/E multiple vs sales growth



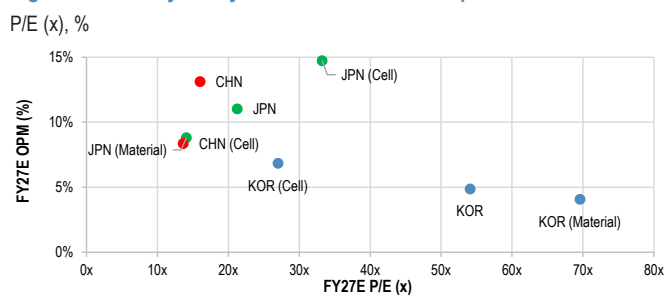
Source: Bloomberg Finance L.P.

Figure 19: Battery ecosystem – FY26E P/E multiple vs OPM



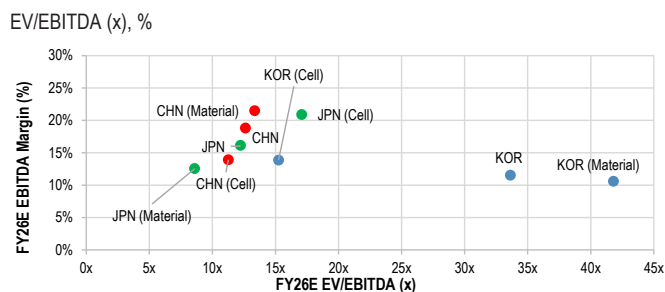
Source: Bloomberg Finance L.P.

Figure 20: Battery ecosystem – FY27E P/E multiple vs OPM



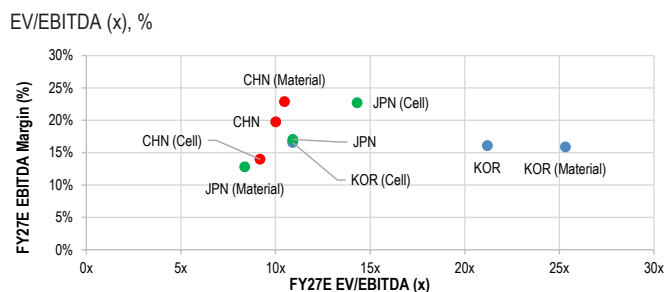
Source: Bloomberg Finance L.P.

Figure 21: Battery ecosystem – FY26E EV/EBITDA multiple vs EBITDAM



Source: Bloomberg Finance L.P.

Figure 22: Battery ecosystem – FY27E EV/EBITDA multiple vs EBITDAM



Source: Bloomberg Finance L.P.

Table 6: Asia EV ecosystem valuation comparison (consensus estimates)

Share price and price target in local currency

Company	Ticker	Currency	JPM Rating	JPM PT	Share Price 6/10/2026	Mkt. Cap US\$bn	P/E (x)		P/B (x)		EV/EBITDA (x)		Sales Growth (%)		OP Margin (%)		ROE (%)		EBITDA Margin (%)	
							2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Battery Cell																				
LG Energy Solution	373220 KS	KRW	OW	530,000	379,500	59.6	n.m.	51.2x	4.4x	3.9x	21.2x	14.7x	25%	24%	5%	10%	-4%	1%	19%	22%
Samsung SDI	006400 KS	KRW	OW	770,000	481,000	26.1	113.9x	26.4x	1.7x	1.6x	22.5x	13.6x	21%	25%	0%	7%	-3%	2%	15%	20%
Murata	6981 JP	JPY	OW	7,000	8,650	109.1	72.1x	50.2x	5.5x	5.1x	28.8x	23.2x	10%	13%	20%	23%	8%	11%	30%	33%
Panasonic	6752 JP	JPY	N	2,585	3,756	57.7	35.5x	19.4x	1.6x	1.5x	10.4x	9.1x	1%	5%	7%	9%	5%	9%	13%	14%
TDK	6762 JP	JPY	OW	3,200	3,640	43.0	35.0x	30.1x	3.1x	2.9x	12.1x	10.7x	7%	6%	12%	13%	10%	11%	20%	22%
CATL	300750 CH	CNY	OW	520	389	267.2	18.6x	15.0x	4.4x	3.7x	12.0x	9.9x	44%	21%	18%	19%	23%	25%	23%	23%
Gotion	002074 CH	CNY	UW	28	29	7.6	24.1x	17.4x	1.7x	1.6x	14.6x	12.4x	37%	22%	4%	5%	10%	7%	12%	12%
EVE Energy	300014 CH	CNY	N	70	55	17.7	16.2x	12.3x	2.4x	2.0x	12.8x	10.3x	50%	27%	8%	8%	11%	15%	12%	11%
CALB	3931 HK	HKD	OW	40	25	6.1	17.2x	11.8x	1.1x	1.0x	11.7x	9.3x	67%	31%	7%	8%	4%	7%	15%	14%
Average							41.6x	26.0x	2.9x	2.6x	16.2x	12.6x	29%	19%	9%	11%	7%	10%	18%	19%
Cathode																				
L&F	066970 KS	KRW	OW	290,000	122,300	3.3	n.m.	55.2x	8.2x	6.9x	24.1x	22.2x	38%	24%	6%	5%	-54%	-10%	9%	8%
EBM	247540 KS	KRW	N	180,000	161,400	10.3	373.4x	157.5x	9.2x	8.7x	72.0x	48.9x	16%	33%	4%	5%	2%	2%	8%	9%
PFM	003670 KS	KRW	UW	100,000	184,300	10.8	290.4x	152.8x	4.0x	3.9x	57.3x	43.9x	3%	31%	3%	4%	1%	1%	11%	11%
Ronbay	688005 CH	CNY	UW	24	32	3.3	51.7x	33.1x	2.6x	2.5x	20.7x	16.3x	29%	39%	3%	4%	-1%	5%	9%	8%
Dynanonic	300769 CH	CNY	UW	52	60	2.5	27.2x	19.0x	3.2x	2.8x	13.8x	11.1x	92%	25%	6%	6%	-11%	10%	10%	10%
Hunan Yuneng	301358 CH	CNY	N	95	68	8.6	14.3x	11.3x	3.2x	2.5x	9.7x	8.6x	88%	21%	8%	8%	11%	23%	11%	11%
Easpring	300073 CH	CNY	NC	n.a.	48	3.9	24.4x	19.0x	1.7x	1.6x	14.8x	11.2x	55%	25%	7%	8%	6%	7%	10%	10%
Average							130.3x	64.0x	4.6x	4.1x	30.3x	23.2x	46%	28%	5%	6%	-7%	6%	10%	9%
Lithium																				
Albemarle	ALB US	USD	N	145	147	17.4	11.8x	11.4x	1.7x	1.6x	7.3x	6.8x	23%	7%	22%	23%	-1%	15%	46%	46%
SQM	SQM US	USD	N	100	74	20.4	10.7x	9.8x	2.9x	2.5x	6.6x	6.3x	77%	3%	38%	38%	11%	29%	46%	47%
Ganfeng Lithium	002460 CH	CNY	N	80	68	20.2	20.2x	18.3x	2.7x	2.4x	15.7x	13.8x	93%	12%	21%	21%	2%	13%	27%	27%
Tianqi Lithium	002466 CH	CNY	N	56	59	14.6	16.1x	14.8x	2.0x	1.8x	6.4x	6.0x	123%	7%	60%	60%	2%	13%	70%	70%
Pilbara Minerals	PLS AU	AUD	OW	8	6	13.4	33.5x	15.9x	3.5x	3.0x	9.8x	11.7x	58%	-10%	55%	48%	14%	22%	65%	61%
Mineral Resources	MIN AU	AUD	NR	n.a.	64	9.0	14.7x	15.1x	2.5x	2.2x	7.5x	7.4x	1%	2%	24%	21%	20%	12%	37%	37%
Average							17.8x	14.2x	2.5x	2.2x	8.9x	8.7x	63%	3%	37%	35%	8%	17%	48%	48%

Source: Bloomberg Finance L.P. estimates; J.P. Morgan price targets and ratings for stocks covered by J.P. Morgan. Note: Share prices as of 10 June 2026 close. NC = Not Covered.

Companies Discussed in This Report (all prices in this report as of market close on 11 June 2026, unless otherwise indicated) BYD Company Limited - A(002594.SZ/Rmb89.80/OW), BYD Company Limited - H(1211.HK/HK\$84.95/OW), CATL - A(300750.SZ/Rmb382.20/OW), CATL - H(3750.HK/HK\$662.00/OW), Ecopro BM(247540.KQ/W160,800/N), Hyundai Motor Company(005380.KS/W594,000/OW), Kia Corp(000270.KS/W153,800/OW), L&F(066970.KQ/W124,600/OW), LG Chem Ltd(051910.KS/W315,500/OW), LG Energy Solution(373220.KS/W390,000/OW), POSCO Future M(003670.KS/W186,300/UW), SQM(SQM/\$74.24[10 June 2026]/N), Samsung SDI(006400.KS/W496,000/OW)

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Completed 11 Jun 2026 05:50 PM HKT

Disseminated 11 Jun 2026 05:50 PM HKT